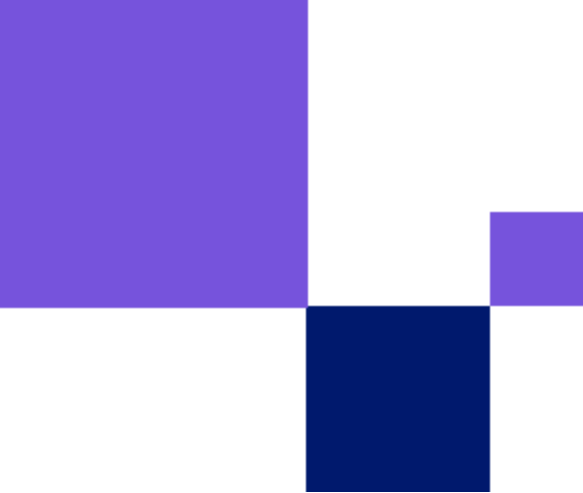




Foundations of Financial Accounting (ACC107)

Lecture 10
Chapter 28
(Statement of Cash Flows)

Learning outcomes

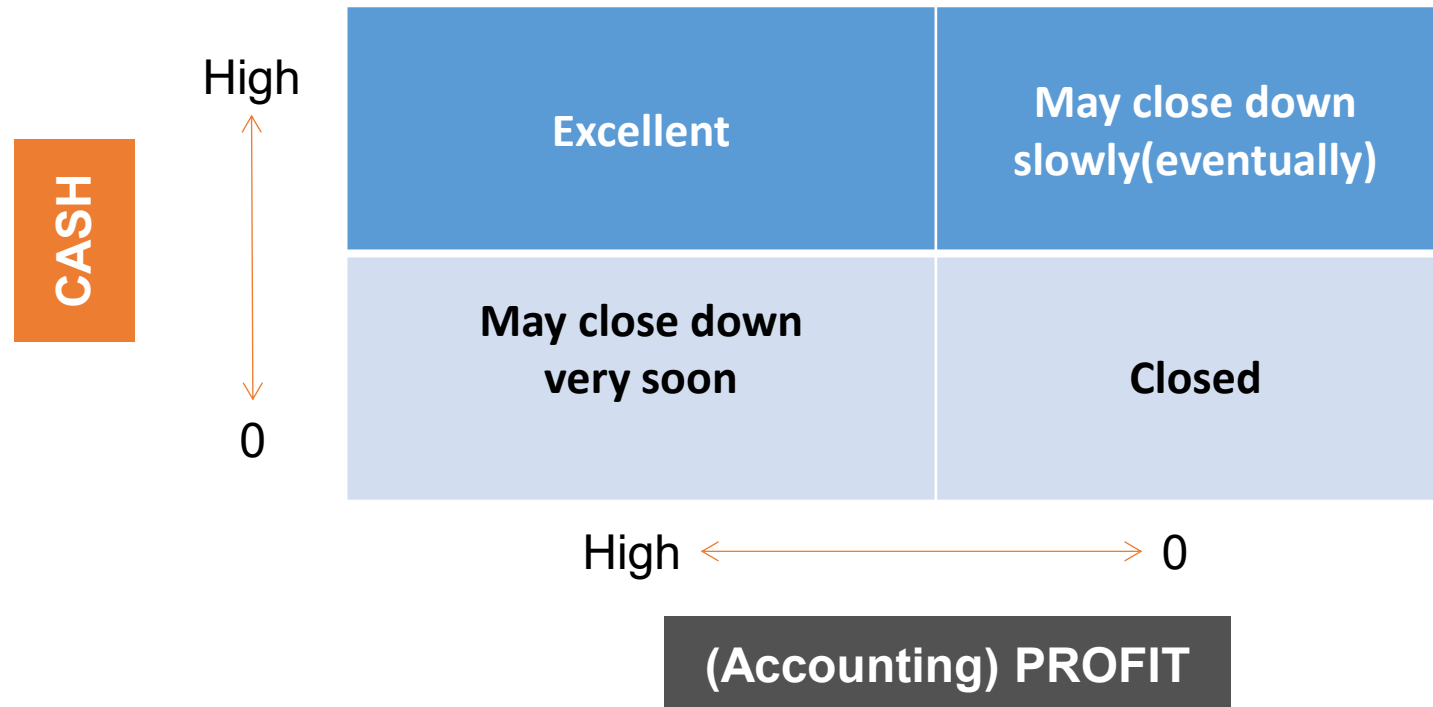
By the end of this lecture and with your own self study you should be able to:

- Explain the nature and purpose of a statement of cash flows;
- Explain the advantages and limitations of statements of cash flows;
- Explain the relationship between statements of cash flows and the statement of P/L and SOFP;
- Prepare a simple statement of cash flows;
- Prepare classified statements of cash flows using the indirect method in accordance with IAS 7;
- Explain the nature of the groups of items and subtotals found in classified statements of cash flows conforming with IAS 7

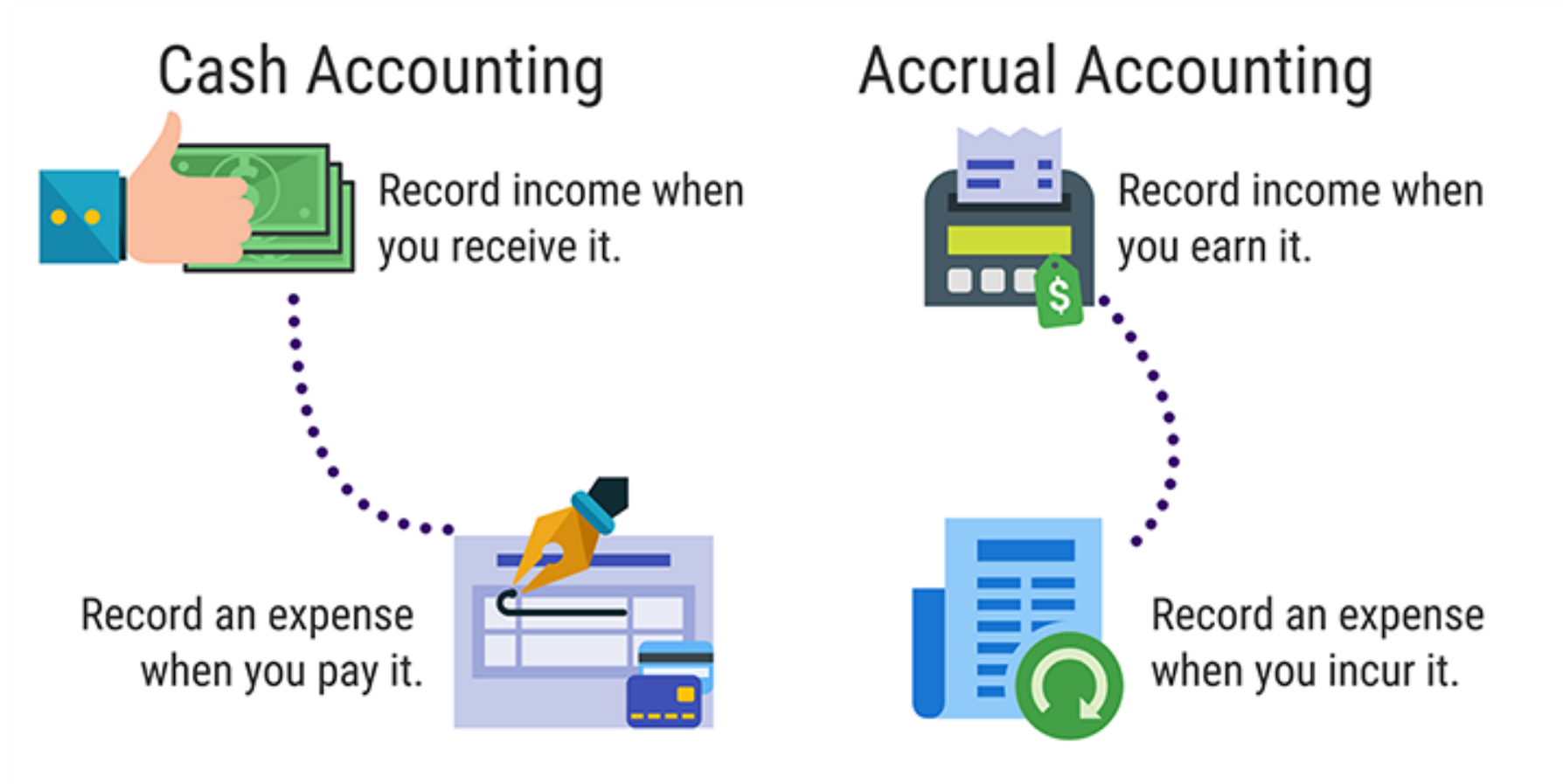
Cash vs. (Accounting) Profit- Survival (1/2)

- People often say, 'Cash is the lifeblood of any business'
- However, simply holding cash can't generate new value!
- Dilemma
 - *Too much cash on hand?*
 - *Too little cash on hand?*

Cash vs. (Accounting) Profit- Survival (2/2)

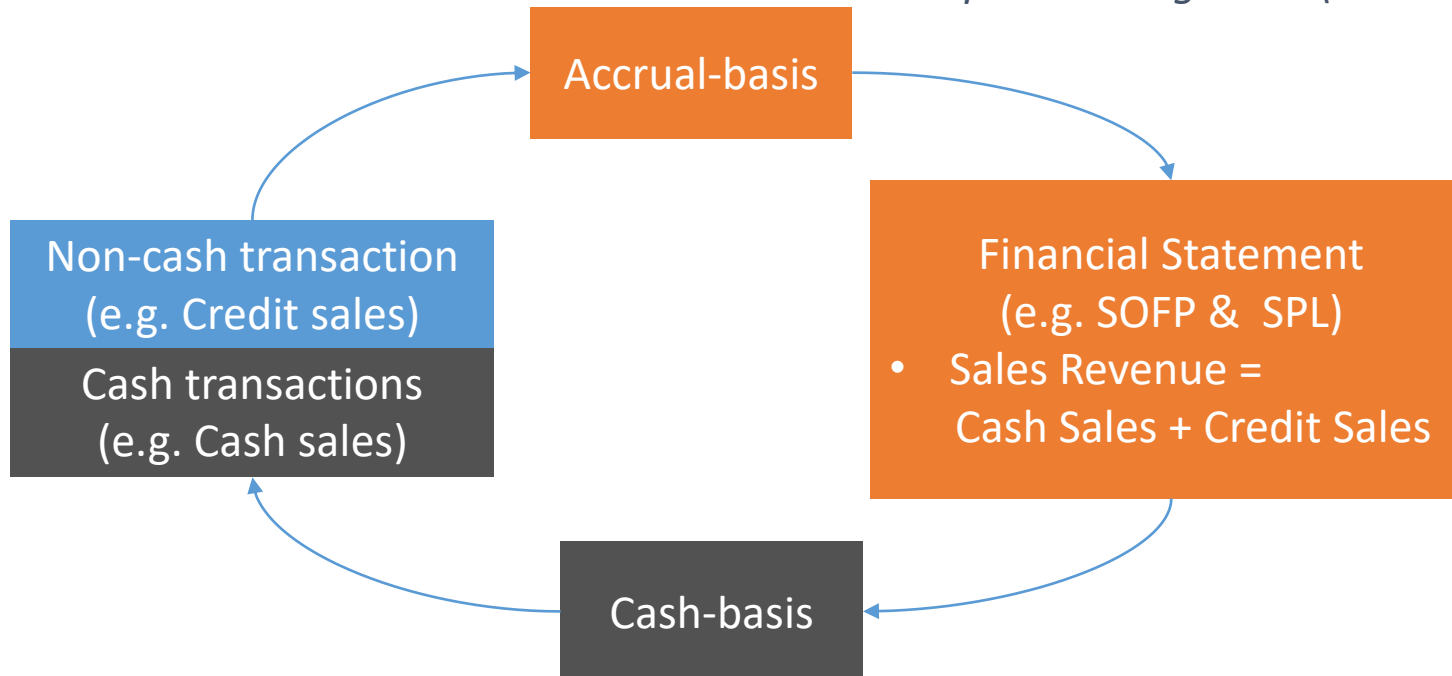


Cash basis vs. Accruals-basis Accounting



Cash basis vs. Accruals-basis (1/5)

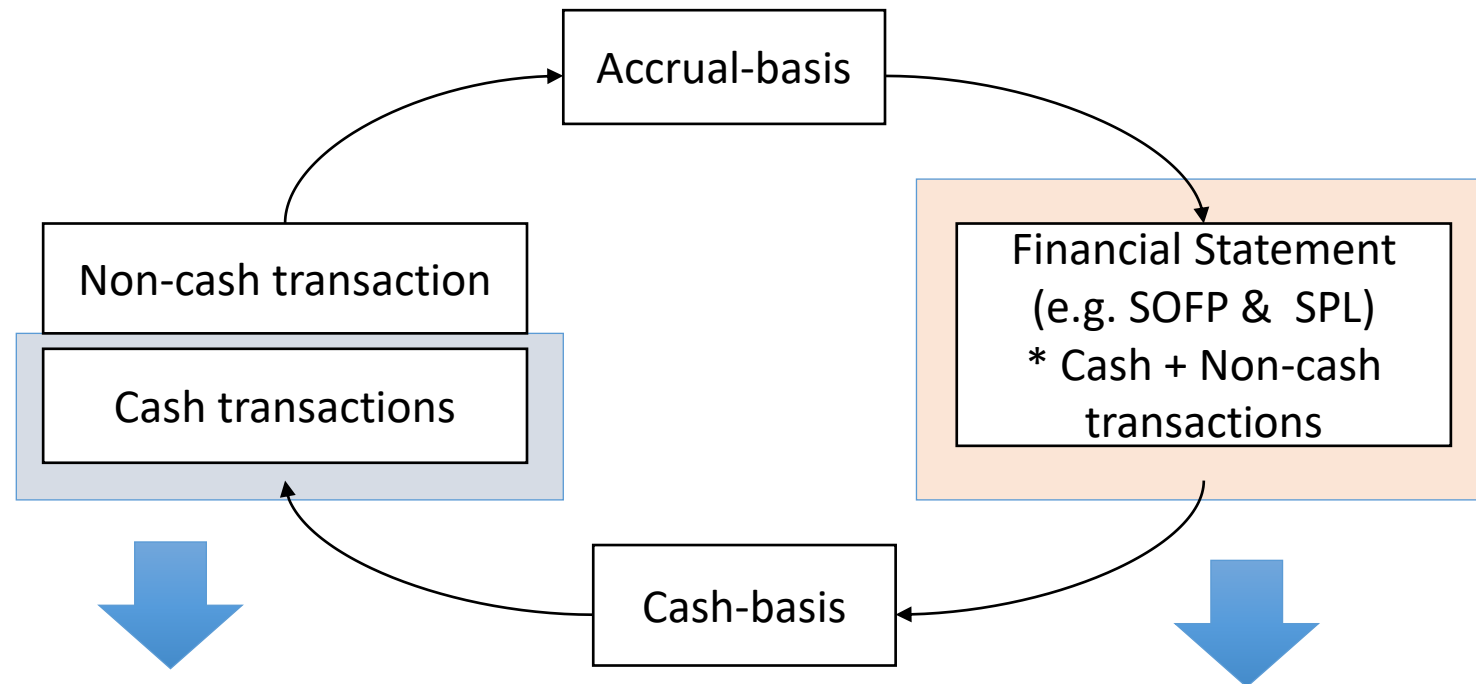
- *What we have done from L1 to L9!*
- *What is “Accrual-basis of Accounting”?*
 - *Record transaction when it occurs*
 - *Revenue & Expense recognition (matching)*



- ***Cash profit/income = Cash receipt – Cash payment***

Cash basis vs. Accruals-basis (2/5) - a simple example

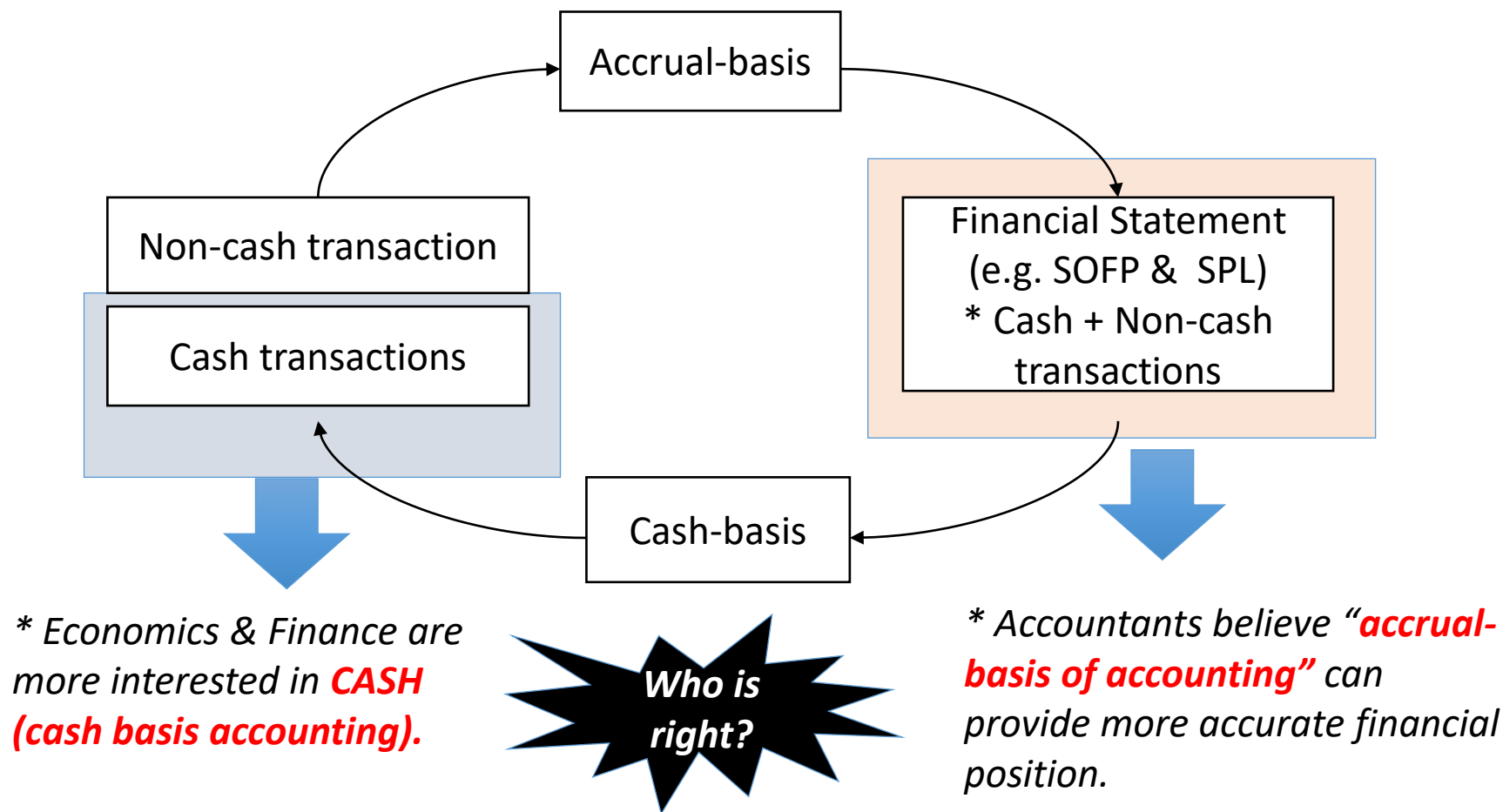
- **Depreciation** – A systemic allocation of Non-current asset's cost over its economic useful life



- **Depreciation is NOT an Expense** because there is **NO Cash payment**.
 - ✓ Thus, it should be **added back** to “(accounting) Profit” in the **Indirect method** (explained later)
- **Depreciation is an important Expense item** although there is **NO Cash payment**.

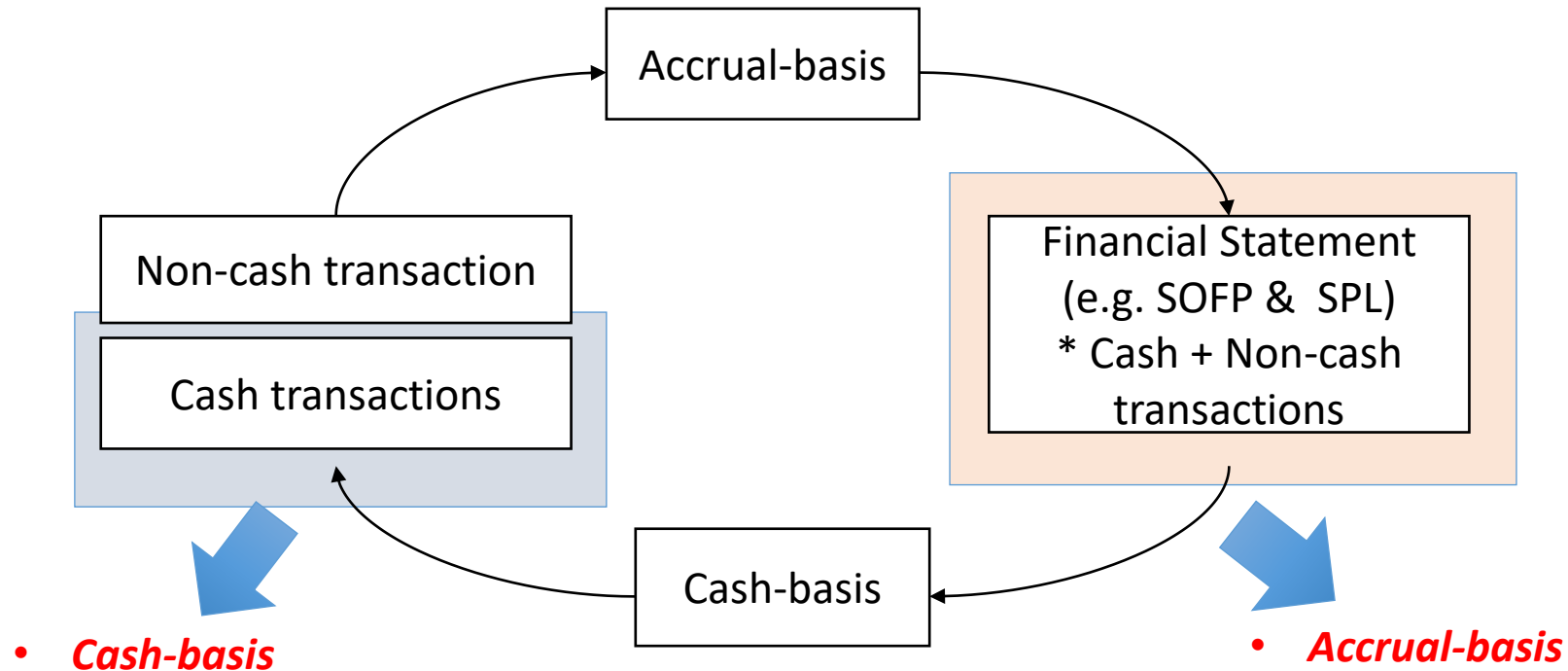
Cash basis vs. Accruals-basis (3/5)

- **Accounting and Economics (+Finance) may have different perspectives!**



Cash basis vs. Accruals-basis (4/5)

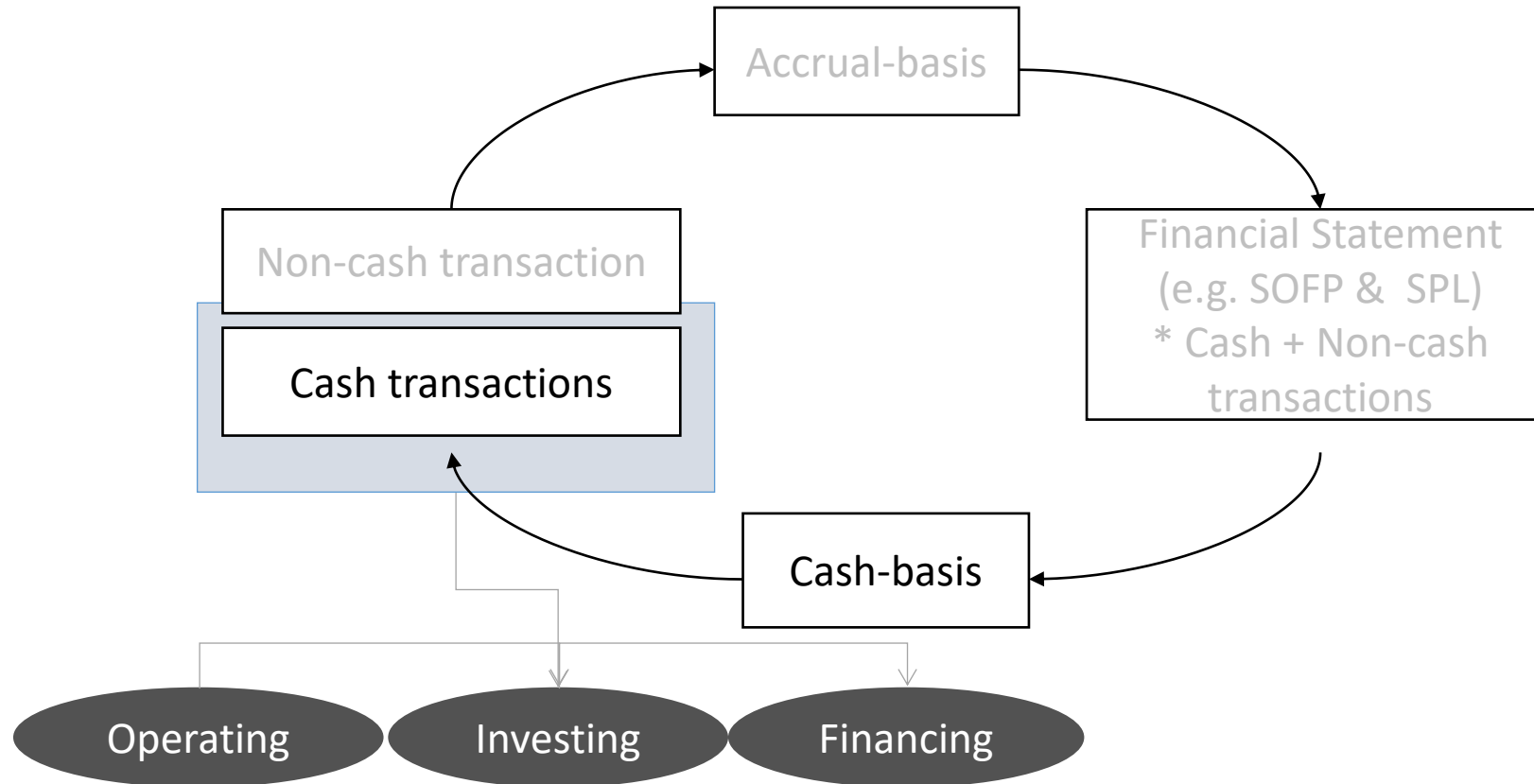
- '(Accounting) Profit is not a reliable indicator..' Do you agree?



We need to know BOTH !

- Both perspectives are NOT perfect indicator of business's performance.
- They are complementary to each other

Cash basis vs. Accruals-basis (5/5) - one remaining issue



- **Classification of Cash flows (IAS 7)**

In-class MCQs

Q1. Which of the following is an example of a cash-based accounting adjustment?

- A) Recognizing depreciation on fixed assets.**
- B) Recording unearned revenue when cash is received in advance.**
- C) Recording utility expenses when the bill is paid.**
- D) Recording interest expense incurred but not yet paid.**

In-class MCQs

Q2. Which of the following is a key characteristic of accrual-based accounting?

- A) Recognizes expenses only when cash is paid.**
- B) Records revenues and expenses based on the cash flow cycle.**
- C) Matches expenses with revenues in the same reporting period.**
- D) Focuses exclusively on cash reserves for decision-making.**

The Nature of Cash and Cash Equivalents

Cash flows - 'inflows and outflows of cash and cash equivalent'

Cash - 'cash on hand and demand deposits'

Demand deposits - are repayable on demand if they can be withdrawn at any time without notice and without penalty, or if they are at maturity, or have a period of notice of not more than 24 hours or one working day has been agreed

Cash equivalents - 'short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value' (IASB, IAS 7, 2018)

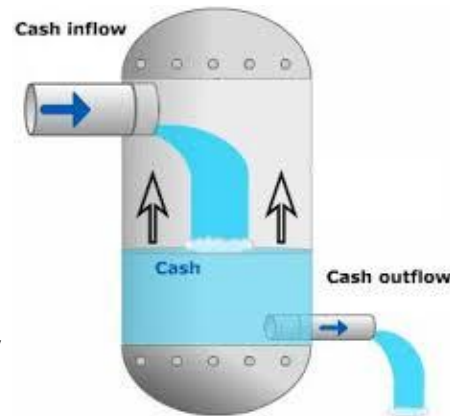
Example: U.S. government Treasury bills, bank certificates of deposit, money market instruments

The basic structure of statements of cash flows

Increase (or decrease) in cash = Cash inflow - Cash outflow

Cash inflow (examples):

- Profit before taxation and dividends after adjusting for non-cash items.
- Proceeds from the sale of non-current assets and investments.
- Proceeds from the issue of shares, loan stock and debentures, and any other money borrowed.
- Customer payments.



Cash outflow (examples):

- Taxation payments.
- Dividends paid.
- Interest payments.
- Purchases of non-current assets and investments.
- Repayment of loan stock, debentures and any other long-term loans.
- Repurchase of shares.
- Payments to suppliers.
- Drawings (for sole traders).

The IAS 7 Statement of Cash Flows

B. Good	
<i>Statement of cash flows for the year ended 31 March 20X9</i>	
	£
Net cash from operating activities	XXX
Net cash from investing activities	XX
Net cash from financing activities	<u>XX</u>
Net cash increase in cash and cash equivalents	XXX
Cash and cash equivalents at 1/04/X8	<u>X</u>
Cash and cash equivalents at 31/03/X9	<u><u>XXX</u></u>

The Relationship between Statement of Cash Flows and:

STATEMENT OF PROFIT or LOSS

- the statement of P/L shows the profit, whereas the SCF (Statement of Cash flow) shows the reasons for the change in cash. Profit is not the same as an increase in cash.

STATEMENT OF FINANCIAL POSITION

- the SOFP is a list of the assets, liabilities and equity at the end of the year, whereas the SCF identifies the resulting effect of changes in assets, liabilities and equity on cash during the year.

Cash Flows from Operating Activities

- Operating activities are the principal revenue-producing activities of the entity and other activities that are not investing or financing activities.
- Cash flows from operating activities are primarily made up of the net increase (or decrease) in cash that results from a company's normal trading activities.
- It can be derived using two methods, the **direct method**, or the **indirect method**.
 - only relevant to the **Operating activities** (Not to the investing or financing activities)

Direct Method

- Involves converting all the individual items in the statement of P/L from an accruals basis to a cash basis.
- It shows the cash received from customers, cash paid to suppliers, and cash paid in wages and for operating expenses.

Direct Method - Proforma

Cash flows from operating activities	£	£
Cash received from customers	XXX	
Cash paid to suppliers	(XXX)	
Cash paid to employees	(XX)	
Cash paid for other operating activities	<u>(XX)</u>	
<i>Cash generated from operations</i>	XXX	
Taxation paid	<u>(XX)</u>	
<i>Net cash from operating activities</i>		XXX

Indirect Method

The **indirect method** involves adjusting the profit or loss before tax for:

- (i) changes during the period in inventories and trade receivables and payables (changes in working capital);
- (ii) other non-cash items; and
- (iii) other items for which the cash effects are investing or financing cash flows.

Indirect Method - Proforma

- **Caution:** This is an **Accounting Profit**, which was based on **Accrual-basis of accounting**

Cash flows from operating activities	£	£
Profit before taxation	XXX	
<i>Adjustments for:</i>		
Depreciation	XX	
Increase/(Decrease) in the allowance for irrecoverable receivables	XX/(XX)	
Investment income	(XX)	
Interest expense	XX	
(Profit)/Loss on sale of non-current asset	(XX)/XX	
<i>Operating profit before working capital changes</i>	XXX	
Increase in trade and other receivables	(XX)	
Decrease in inventories	XX	
Increase in trade and other payables	(XX)	
<i>Cash generated from operations</i>	XXX	
Income taxes paid	(XX)	
<i>Net cash from operating activities</i>		XXX

In-class MCQs

Q3. Which of the following is a key difference between the direct and indirect methods of preparing the cash flow statement?

- A) The direct method reports cash flows from operating activities, while the indirect method does not.**
- B) The direct method starts with net income, while the indirect method starts with operating cash flow.**
- C) The direct method shows cash inflows and outflows, while the indirect method adjusts net income for non-cash items.**
- D) The direct method is used exclusively by publicly traded companies, while the indirect method is used by small businesses.**

Indirect Method - Links between SCF, SPL and SOFP

Worked Example 28.2/28.3

<i>C. Flowers Ltd</i>	
<i>Statement of profit or loss for the year ended 31/03/X1</i>	
	£
Revenue	1,429,000
Cost of sales	(1,143,200)
Gross profit	285,800
Other income	5,400
Distribution costs	(136,000)
Administration expenses	(89,700)
Finance costs	(2,000)
Profit before tax	63,500
Income tax expense	(18,500)
Profit for the year	45,000

The following are the statements of financial position of C. Flowers Ltd as at 31 March 20X0 and 31 March 20X1:

	31 Mar 20X0	31 Mar 20X1
ASSETS	£	£
<i>Non-current assets</i>		
Property, plant and equipment	127,000	113,000
<i>Current assets</i>		
Inventory	48,400	56,700
Trade receivables	39,100	36,200
Cash and bank	8,600	17,300
	94,400	108,800
Total assets	221,400	221,800
EQUITY AND LIABILITIES		
<i>Equity</i>		
Equity shares of £1 each	50,000	60,000
Share premium account	18,000	26,000
General reserve	6,400	9,600
Retained earnings	47,900	54,900
Total equity	122,300	150,500
<i>Non-current liabilities</i>		
10% debentures	52,000	20,000
Total non-current liabilities	52,000	20,000
<i>Current liabilities</i>		
Trade payables	31,400	32,800
Current tax payable	15,700	18,500
Total current liabilities	47,100	51,300
Total liabilities	99,100	71,300
Total equity and liabilities	221,400	221,800

<i>C. Flowers Ltd</i>	
<i>Statement of cash flows for the year ended 31 March 20X1</i>	
	£
Cash flows from operating activities	
Profit before taxation	63,500
<i>Adjustments for:</i>	
Depreciation charges	9,800
Interest received	(5,400)
Debenture interest paid	2,000
Loss on sale of tangible non-current assets	700
Allowance for irrecoverable receivables (decrease)	(300)
Operating profit before working capital changes	70,300
Increase in trade payables (£32,800 – £31,400)	1,400
Decrease in trade receivables (£39,100 – £36,200)	2,900
Increase in inventory (£56,700 – £48,400)	(8,300)
Cash generated from operations	66,300
Income taxes paid	(15,700)
Net cash flow from operating activities	50,600
Cash flows from investing activities	
Interest received	5,400
Receipts from sale of tangible non-current assets	3,500
Net cash from investing activities	8,900
Cash flows from financing activities	
Issue of equity share capital (10,000 × £1.80)	18,000
Repayment of debenture loan (£52,000 – £20,000)	(32,000)
Debenture interest paid (£20,000 × 10%)	(2,000)
Equity dividends paid (£26,200 + £8,600)	(34,800)
Net cash used in financing activities	(50,800)
Net increase in cash and cash equivalents	8,700
Cash and cash equivalents at beginning of period	8,600
Cash and cash equivalents at end of period	17,300

Indirect Method - Changes in working capital (1/2)

- **Inventory**

An **increase** in inventory will appear as a **negative** amount in the cashflow statement (SCF), and vice versa.

Inventory adjustment illustration:

Opening inventory = 100
Closing inventory = 200
Purchase (in Cash) = 500



COGS = $100 + 500 - 200 = 400$
Cash outflow (Purchase) = 500
More cash outflow than COGS reduced in P/L.

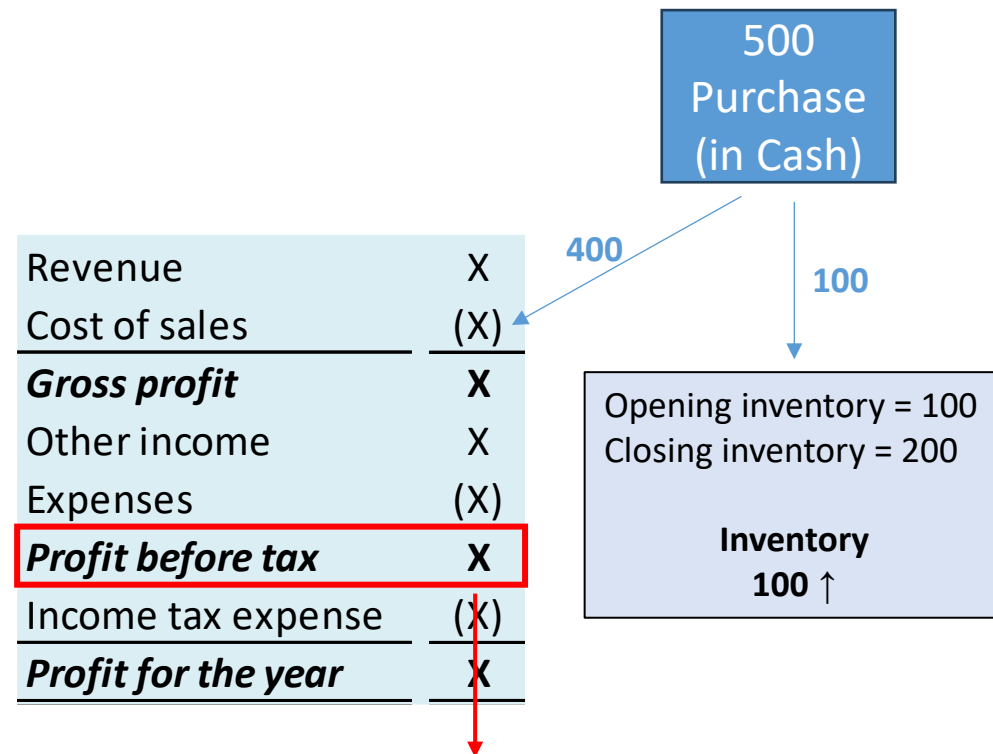
- **Trade receivables**

An **increase** in trade receivables will appear as a **negative** amount in the cashflow statement (SCF), and vice versa.

- **Trade payables**

An **increase** in trade payables will appear as a **positive** amount in the cashflow statement (SCF), and vice versa.

Inventory adjustment illustration:



The profit figure only incorporates 400 (out of the 500) cash outflow, the remaining 100 cash outflow should be reduced in the SCF.

Indirect Method - Changes in working capital (2/2)

Worked Example 28.2/28.3

The following are the statements of financial position of C. Flowers Ltd as at 31 March 20X0 and 31 March 20X1:

	31 Mar 20X0	31 Mar 20X1
ASSETS	£	£
<i>Non-current assets</i>		
Property, plant and equipment	127,000	113,000
<i>Current assets</i>		
Inventory	48,400	56,700
Trade receivables	39,100	36,200
Cash and bank	8,600	17,300
	94,400	108,800
<i>Total assets</i>	<u>221,400</u>	<u>221,800</u>
EQUITY AND LIABILITIES		
<i>Equity</i>		
Equity shares of £1 each	50,000	60,000
Share premium account	18,000	26,000
General reserve	6,400	9,600
Retained earnings	47,900	54,900
<i>Total equity</i>	<u>122,300</u>	<u>150,500</u>
<i>Non-current liabilities</i>		
10% debentures	52,000	20,000
<i>Total non-current liabilities</i>	<u>52,000</u>	<u>20,000</u>
<i>Current liabilities</i>		
Trade payables	31,400	32,800
Current tax payable	15,700	18,500
<i>Total current liabilities</i>	<u>47,100</u>	<u>51,300</u>
<i>Total liabilities</i>	<u>99,100</u>	<u>71,300</u>
<i>Total equity and liabilities</i>	<u>221,400</u>	<u>221,800</u>

C. Flowers Ltd	
Statement of cash flows for the year ended 31 March 20X1	
	£
Cash flows from operating activities	
Profit before taxation	63,500
<i>Adjustments for:</i>	
Depreciation charges	9,800
Interest received	(5,400)
Debenture interest paid	2,000
Loss on sale of tangible non-current assets	700
Allowance for irrecoverable receivables (decrease)	(300)
<i>Operating profit before working capital changes</i>	70,300
Increase in trade payables (£32,800 – £31,400)	1,400
Decrease in trade receivables (£39,100 – £36,200)	2,900
Increase in inventory (£56,700 – £48,400)	(8,300)
<i>Cash generated from operations</i>	66,300
Income taxes paid	(15,700)
<i>Net cash flow from operating activities</i>	50,600

8300↑

2900↓

1400↑

50,600

Indirect Method - Other non-cash items (1/2)

A non-cash item refers to an expense listed on an income statement that does not involve a cash payment.

- **Depreciation**

Depreciation is a non-cash expense. Need to **add it back** to the (accounting) profit.

- **Changes in allowances (for irrecoverable debts)**

An **increase** in allowances (for irrecoverable debts) will appear as a **positive** amount in the cashflow statement (SCF), and vice versa.

- **Profits/losses on disposal of non-current assets**

A **profit** on disposal of non-current assets will appear as a **negative** amount in the cashflow statement (SCF).

A **loss** on disposal of non-current assets will appear as a **positive** amount in the cashflow statement (SCF).

Revenue	X
Cost of sales	(X)
Gross profit	X
Other income	X
Expenses	(X)
Profit before tax	X
Income tax expense	(X)
Profit for the year	X

Indirect Method - Other non-cash items (2/2)

Worked Example 28.2/28.3

C. Flowers Ltd	
Statement of profit or loss for the year ended 31/03/X1	
	£
Revenue	1,429,000
Cost of sales	(1,143,200)
Gross profit	285,800
Other income	5,400
Distribution costs	(136,000)
Administration expenses	(89,700)
Finance costs	(2,000)
Profit before tax	63,500
Income tax expense	(18,500)
Profit for the year	45,000

Additional information

2. Non-current assets that cost £8,000 and had a written-down value of £4,200 were disposed of during the year ended 31 March 20X1 at a price of £3,500. There were no other acquisitions or disposals of non-current assets during the year.

$$\text{Disposal loss} = 3,500 - 4,200 = -700 \text{ (loss)}$$

3. The total depreciation on non-current assets for the year was £9,800.

4. Trade receivables are made up of the following:

	31 Mar 20X0	31 Mar 20X1
	£	£
Trade receivables	39,100	36,200
Less: Allowance for irrecoverable receivables	(1,700)	(1,400)
	37,400	34,800

5. The current tax payable at 31 March 20X0 of £15,700 was paid in September 20X0

C. Flowers Ltd	
Statement of cash flows for the year ended 31 March 20X1	
	£
Cash flows from operating activities	
Profit before taxation	63,500
Adjustments for:	
Depreciation charges	9,800
Interest received	(5,400)
Debenture interest paid	2,000
Loss on sale of tangible non-current assets	700
Allowance for irrecoverable receivables (decrease)	(300)
Operating profit before working capital changes	70,300
Increase in trade payables (£32,800 – £31,400)	1,400
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Receipts from sale of tangible non-current assets	3,500
Net cash from investing activities	8,900
Cash flows from financing activities	
Issue of equity share capital (10,000 × £1.80)	18,000
Repayment of debenture loan (£52,000 – £20,000)	(32,000)
Debenture interest paid (£20,000 × 10%)	(2,000)
Equity dividends paid (£26,200 + £8,600)	(34,800)
Net cash used in financing activities	(50,800)
Net increase in cash and cash equivalents	8,700
Cash and cash equivalents at beginning of period	8,600
Cash and cash equivalents at end of period	17,300

Indirect Method - Investing or financing cash flows (1/2)

Items included in the statement of profit or loss that are regarded as being income from investing activities or payments related to financing activities are typically removed from the operating cash flows part and disclosed separately as investing or financing cash flows .

- **Investing cash flows included in SPL**

Dividends received

Interest received

- **Financing cash flows included in SPL**

Interest paid

Revenue	X
Cost of sales	(X)
Gross profit	X
Other income	X
Expenses	(X)
Profit before tax	X
Income tax expense	(X)
Profit for the year	X

Indirect Method - Investing or financing cash flows (2/2)

Worked Example 28.2/28.3

C. Flowers Ltd	
Statement of profit or loss for the year ended 31/03/X1	
	£
Revenue	1,429,000
Cost of sales	(1,143,200)
Gross profit	285,800
Other income	5,400
Distribution costs	(136,000)
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Finance costs	(2,000)
Profit before tax	63,500
Income tax expense	(18,500)
Profit for the year	45,000

C. Flowers Ltd		
Statement of cash flows for the year ended 31 March 20X1		
	£	£
Cash flows from operating activities		
Profit before taxation	63,500	
Adjustments for:		
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Net cash used in financing activities		(50,800)
Net increase in cash and cash equivalents		8,700
Cash and cash equivalents at beginning of period		8,600
Cash and cash equivalents at end of period		17,300

Additional information

In the current year, Flowers Ltd:

- received 5,400 interest from its debenture investments.
- paid 2,000 interest for its debenture issued.

Cash Flows from Investing Activities (1/2)

- Investing activities – ‘*the acquisition and disposal of non-current assets and other investments not included in cash equivalents*’.

- Cash flows from investing activities

Examples:

- Cash flows from the acquisition/disposal of non-current assets
 - Cash flows from the purchase/sale of financial assets (not classed as cash equivalents)
 - *Interest and dividends received* on financial assets
- The separate disclosure of cash flows arising from investing activities is important because the cash flows represent the extent to which expenditures have been made for resources intended to generate future income and cash flows.

Cash Flows from Investing Activities (2/2)

Worked Example 28.2/28.3

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<i>Statement of profit or loss for the year ended 31/03/X1</i>	
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Revenue	1,429,000
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Finance costs	(2,000)
Profit before tax	63,500
Income tax expense	(18,500)
Profit for the year	<u>45,000</u>

Additional information

2. Non-current assets that cost £8,000 and had a written-down value of £4,200 were disposed of during the year ended 31 March 20X1 at a price of £3,500. There were no other acquisitions or disposals of non-current assets during the year.

$$\text{Disposal loss} = 3,500 - 4,200 = -700 \text{ (loss)}$$

<i>C. Flowers Ltd</i>		
<i>Statement of cash flows for the year ended 31 March 20X1</i>		
	£	£
Cash flows from operating activities		
Profit before taxation	63,500	
Adjustments for:		
Depreciation charges	9,800	
Interest received	(5,400)	
Debenture interest paid	2,000	
Loss on sale of tangible non-current assets	700	
Allowance for irrecoverable receivables (decrease)	(300)	
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Income taxes paid	(15,700)	
Net cash flow from operating activities		50,600
Cash flows from investing activities		
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Cash flows from financing activities		
Issue of equity share capital (10,000 × £1.80)	18,000	
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Equity dividends paid (£26,200 + £8,600)	(34,800)	
Net cash used in financing activities		(50,800)
Net increase in cash and cash equivalents		8,700
Cash and cash equivalents at beginning of period		<u>8,600</u>
Cash and cash equivalents at end of period		<u>17,300</u>

Cash Flows from Financing Activities (1/2)

- **Financing activities** - '*activities that result in changes in the size and composition of the contributed equity and borrowings of the entity*'.
- **Cash flows from financing activities**
 - This encapsulates cash paid to external providers of finance in respect of the **principal amounts** of finance and the payments required to service these principal amounts (**interest and dividends paid**).
 - The most common external providers of finance are equity shareholders, preference shareholders, loan stock holders and debenture holders
- The separate disclosure of cash flows from financing activities is important because it is useful in predicting claims on future cash flows by providers of capital to the entity.

Cash Flows from Financing Activities (2/2)

Worked Example 28.2/28.3

The following are the statements of financial position of C. Flowers Ltd as at 31 March 20X0 and 31 March 20X1:

	31 Mar 20X0	31 Mar 20X1
EQUITY AND LIABILITIES		
<i>Equity</i>		
Equity shares of £1 each	50,000	60,000
Share premium account	18,000	26,000
General reserve	6,400	9,600
Retained earnings	47,900	54,900
<i>Total equity</i>	<u>122,300</u>	<u>150,500</u>
<i>Non-current liabilities</i>		
10% debentures	52,000	20,000
<i>Total non-current liabilities</i>	<u>52,000</u>	<u>20,000</u>
<i>Current liabilities</i>		
Trade payables	31,400	32,800
Current tax payable	15,700	18,500
<i>Total current liabilities</i>	<u>47,100</u>	<u>51,300</u>
<i>Total liabilities</i>	<u>99,100</u>	<u>71,300</u>
<i>Total equity and liabilities</i>	<u>221,400</u>	<u>221,800</u>

Additional information

6. The proposed final equity dividend for the year 31 March 20X1 is £29,600 (31 March 20X0 – £26,200). If approved at the AGM, the proposed final equity dividend will be paid for immediately. The AGM is usually three months after the reporting period end date. In addition, an interim equity dividend is paid each year in October. The interim dividend for 20X1 was £8,600 (20X0 – £5,500).

Dividend paid during the year = 26,200 + 8,600 = 34,800

7. During the year 10,000 equity shares were issued at a price of £1.80 each.

Cash raised from equity issuance = 10,000 * 1.80 = 18,000

C. Flowers Ltd		
Statement of cash flows for the year ended 31 March 20X1		
	£	£
Cash flows from operating activities		
Profit before taxation	63,500	
<i>Adjustments for:</i>		
Depreciation charges	9,800	
Interest received	(5,400)	
Debenture interest paid	2,000	
Loss on sale of tangible non-current assets	700	
Allowance for irrecoverable receivables (decrease)	(300)	
<i>Operating profit before working capital changes</i>	<u>70,300</u>	
Increase in trade payables (£32,800 – £31,400)	1,400	
Decrease in trade receivables (£39,100 – £36,200)	2,900	
Increase in inventory (£56,700 – £48,400)	(8,300)	
<i>Cash generated from operations</i>	<u>66,300</u>	
Income taxes paid	(15,700)	
<i>Net cash flow from operating activities</i>		50,600
Cash flows from investing activities		
Interest received	5,400	
Receipts from sale of tangible non-current assets	3,500	
<i>Net cash from investing activities</i>		8,900
Cash flows from financing activities		
Issue of equity share capital (10,000 × £1.80)	18,000	
Repayment of debenture loan (£52,000 – £20,000)	(32,000)	
Debenture interest paid (£20,000 × 10%)	(2,000)	
Equity dividends paid (£26,200 + £8,600)	(34,800)	
<i>Net cash used in financing activities</i>		(50,800)
<i>Net increase in cash and cash equivalents</i>		8,700
<i>Cash and cash equivalents at beginning of period</i>		8,600
<i>Cash and cash equivalents at end of period</i>		<u>17,300</u>

Cash Flows from Financing Activities (2/2)

Worked Example 28.2/28.3

The following are the statements of financial position of C. Flowers Ltd as at 31 March 20X0 and 31 March 20X1:

	31 Mar 20X0	31 Mar 20X1
EQUITY AND LIABILITIES		
<i>Equity</i>		
Equity shares of £1 each	50,000	60,000
Share premium account	18,000	26,000
General reserve	6,400	9,600
Retained earnings	47,900	54,900
Total equity	122,300	150,500
<i>Non-current liabilities</i>		

Interim dividends of FY 20X0 £5,500	Final dividends of FY 20X0 £26,200	Interim dividends of FY 20X1 £8,600	Final dividends of FY 20X1 £29,600
Oct 20W9	Mar 20X0	Oct 20X0	Mar 20X1
	June 20X1	June 20X1	

Additional information

6. The proposed final equity dividend for the year 31 March 20X1 is £29,600 (31 March 20X0 – £26,200). If approved at the AGM, the proposed final equity dividend will be paid for immediately. The AGM is usually three months after the reporting period end date. In addition, an interim equity dividend is paid each year in October. The interim dividend for 20X1 was £8,600 (20X0 – £5,500).

Dividend paid during the year = 26,200 + 8,600 = **34,800**

7. During the year 10,000 equity shares were issued at a price of £1.80 each.

Cash raised from equity issuance = 10,000 * 1.80 = **18,000**

C. Flowers Ltd	
Statement of cash flows for the year ended 31 March 20X1	
	£
Cash flows from operating activities	
Profit before taxation	63,500
<i>Adjustments for:</i>	
Depreciation charges	9,800
Interest received	(5,400)
Debenture interest paid	2,000
Loss on sale of tangible non-current assets	700
Allowance for irrecoverable receivables (decrease)	(300)
<i>Operating profit before working capital changes</i>	<i>70,300</i>
Increase in trade payables (£32,800 – £31,400)	1,400
Decrease in trade receivables (£39,100 – £36,200)	2,900
Increase in inventory (£56,700 – £48,400)	(8,300)
<i>Cash generated from operations</i>	<i>66,300</i>
Income taxes paid	(15,700)
<i>Net cash flow from operating activities</i>	<i>50,600</i>
Cash flows from investing activities	
Interest received	5,400
Receipts from sale of tangible non-current assets	3,500
<i>Net cash from investing activities</i>	<i>8,900</i>
Cash flows from financing activities	
Issue of equity share capital (10,000 × £1.80)	18,000
Repayment of debenture loan (£52,000 – £20,000)	(32,000)
Debenture interest paid (£20,000 × 10%)	(2,000)
Equity dividends paid (£26,200 + £8,600)	(34,800)
<i>Net cash used in financing activities</i>	<i>(50,800)</i>
<i>Net increase in cash and cash equivalents</i>	<i>8,700</i>
<i>Cash and cash equivalents at beginning of period</i>	<i>8,600</i>
<i>Cash and cash equivalents at end of period</i>	<i>17,300</i>

In-class MCQs

Q3. In the direct method of cash flow preparation, which of the following would be classified as a cash inflow from operating activities?

- A) Cash proceeds from the sale of property**
- B) Cash receipts from customers**
- C) Cash inflows from issuing shares**
- D) Cash borrowed from a bank**

In-class MCQs

Q4. How are cash flows from operating activities typically presented under the indirect method?

A) Directly, as cash receipts and payments from operating activities

B) By starting with net income and adjusting for changes in non-cash items and working capital

C) By starting with revenue

D) By reporting only major categories of cash receipts

In-class MCQs

Q5. In the indirect method, which of the following adjustments would be made to net income when preparing the operating activities section?

- A) Subtract the total amount received on the sale of equipment**
- B) Add back any loss on the sale of equipment**
- C) Subtract depreciation**
- D) Add back dividends paid**

In-class MCQs

Q6. In the indirect method, the adjustment for an increase in inventory would:

- A) Increase cash flow from operating activities**
- B) Decrease cash flow from operating activities**
- C) Have no effect on cash flow from operating activities**
- D) Be reflected in investing activities**

The purpose of statements of cash flows

- To show the reasons for the **change in the cash balance** over the accounting year.
- To show the manner in which **cash has been generated and used** during the year.
- To show the effects on cash flows of **an entity's operating, investing and financing activities** for a given period.
- To provide information that assists in the assessment of liquidity, solvency and financial adaptability.

Uses of Statements of Cash Flows

1. To enable users to see how the various activities have been financed.
2. To allow users to check the accuracy of past assessments.
3. To assist users in making judgements on the amount, timing and degree of certainty of future cash flows, and thus the ability of the entity to:
 - (a) pay its debts (loans, payables, etc);
 - (b) pay interest and dividends;
 - (c) continue without the need for extra external finance.
4. To explain how there can be a profit but a decrease in cash (or vice versa), and thus why the dividend may be small.
5. To show the reasons for the difference between profit and its associated cash inflows and outflows.

The Advantages of the Statement of Cash Flows over the Statement of P/L and the SOFP

- Easier to understand.
- More objective.
- Permit more meaningful comparisons of performance.
- The survival of the entity depends on cash, which is thus more relevant than profit.
- Future dividends, the repayment of loans and trade creditors depends on cash. It thus permits better predictions of future dividends, insolvency, etc.

The Limitations of the Statement of Cash Flows

- Being easier to understand doesn't necessarily mean it is more relevant/useful.
- It also involves subjective judgements about the classification of items.
- Performance comparisons can be misleading because cash flows are often erratic.
- The survival of the entity also depends on profitability.
- Future dividends also depend on profitability.

Homework

- ▶ Review the content of this lecture
- ▶ Attempt the tutorial questions on time

Thanks for listening

